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FX

FX Daily: Dollar to build a stronger footing

It is a big week for macro data, especially in the US. There is a creeping view that US growth could be re-accelerating as AI investment seeps through the broader economy. Healthy jobs data and higher pricing intentions from this week's ISM business surveys can add to expectations that the Fed ends up hiking this year. We expect the dollar to remain supported



Healthy jobs data and higher pricing intentions from business surveys can keep the dollar supported this week

USD: A switch back to US macro this week

FX markets are looking fatigued with the Gulf story. Weekend news of the US and Iran still negotiating a peace deal while exchanging limited military fire has so far had little effect on either energy, equity or FX markets. One-month G7 FX implied volatility has dipped back to the lows seen in the summer of 2024 and suggests that geopolitics is expected to play a lesser role in FX markets over coming months.

However, it looks like the US macro story could be gaining a little momentum and be ready to provide some broader support to the dollar. This week will see a whole host of US job market

reports and business surveys.

Regarding the US labour market, Tuesday sees JOLTS job opening data for April, Wednesday sees the May monthly ADP reading, Thursday sees Challenger layoff data, and the week culminates in Friday's May non-farm payrolls (NFP) data – expected at a healthy +90k increase and the unemployment rate staying low at 4.3%. We also receive ISM business surveys for the manufacturing sector (released today) and the services sector (Wednesday), which will provide insights into employment trends, as well as order books and pricing power. And the Federal Reserve's Beige Book (Wednesday) will provide insights into the latest pricing and employment trends across the central bank's 12 districts.

This week's data should further support the growing narrative that the Fed can be comfortable with its full employment mandate and can focus squarely on the upside risks to inflation. Having heard from the Fed's most dovish member on Friday, Michelle Bowman, the speaker calendar switches back to the hawks this week in the form of Neel Kashkari, Beth Hammack and Lorie Logan.

Should the jobs data stay supportive and price pressures through the ISM surveys remain intense, markets can probably shift towards pricing one full 25bp Fed rate hike this year. That compares to +17bp of tightening priced currently.

Low volatility will see ongoing interest in the carry trade, and if the dollar is to rally on stronger US activity data, it is more likely to be against the low-yielders of the Japanese yen and the Swiss franc. As we [discussed on Friday](#), unless the Bank of Japan can turn surprisingly hawkish, USD/JPY looks biased to the 162 area. Expect DXY to continue to find good support in the 98.75/99.00 area and press the 99.50 area again this week.

Chris Turner

➡ **EUR: CPI expectations survey can firm up two ECB hikes**

Today, we are interested in the 10:00am CET release of the ECB's wave survey of inflation expectations. Three-year CPI expectations spiked to 3.00% in March, and a further elevated reading today can probably lean into views that the ECB will need to hike twice this year – probably in June and September. That would be a little more aggressive than the +44bp of ECB tightening currently priced by September. A move up in short-dated EUR swap rates would be mildly supportive for the euro, but we expect EUR/USD upside to be limited by the dollar story.

1.1660/1685 could be the top of the short-term trading range, and the positive US macro backdrop will question whether EUR/USD can make it back to 1.18 if a US-Iran peace deal is formally reached.

Chris Turner

➔ **GBP: Bailey subdues tightening expectations**

It seems Bank of England Governor Andrew Bailey has done a good job of quelling rate hike expectations this year. At one point, the market was pricing in over 80bp of BoE tightening this year, and now we just have 33bp priced. Of course, the drop in oil prices has played a major role here too. In a speech on Friday, Governor Bailey said the BoE could look through temporary above-target inflation, as long as second-round effects did not emerge. Insights into second round effects may emerge on Friday this week in the form of CPI expectations from the BoE's Decision Maker Panel survey.

The removal of an aggressive BoE tightening cycle has not heavily weighed on sterling. Yet the stronger dollar story should keep a lid on GBP/USD near 1.3500, and EUR/GBP support looks solid at 0.8610/20.

Chris Turner

➔ **CEE: Beginning the month with caution**

CEE opens the month with a busy data schedule. May PMI readings are due today, and so far, the US-Iran conflict has not materially dented sentiment. The focus then shifts to Tuesday's National Bank of Poland meeting, where rates are expected to stay unchanged at 3.75%. Friday's softer-than-expected 3.1% inflation print supports a hold, a stance Governor Adam Glapiński is likely to reiterate at Wednesday's press conference.

On Thursday, the Czech Republic reports May inflation and first-quarter wage data, with headline CPI expected to ease to 2.3% year-on-year from 2.5% previously. Turkey releases inflation on Friday, with consensus looking for a slight decline to 32.0% YoY from 32.4%.

With sentiment improving into the end of last week but Middle East headlines remaining mixed over the weekend, we expect a cautious start to trading in CEE today. Recent sessions have seen a notable pullback in rate hike pricing in Poland and the Czech Republic (now down to around two hikes on average), while Hungary has seen easing expectations extend to nearly five cuts. In our view, there is still room for more dovish pricing in Hungary, but only limited scope for further repricing in Poland and the Czech Republic, where around 1.5 hikes looks like a floor for the current rally.

EUR/PLN and EUR/CZK are trading near the lower ends of their recent 4.225-260 and 24.260-360 ranges respectively, but neither pair offers a compelling stronger-conviction story at this stage. EUR/HUF briefly tested 354, its lowest level in four years, on headlines about the unlocking of EU funds. While the positive momentum should persist despite stretched long positioning, any further HUF gains are likely to be more gradual, with 350 in EUR/HUF still our mid-year target.

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